

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Earnings
(Unaudited)

	For the three months ended		
	October 31, 2025	July 31, 2025	October 31, 2024
	In millions, except per share amounts		
Net revenue	\$ 9,679	\$ 9,136	\$ 8,458
Costs and Expenses:			
Cost of sales (exclusive of amortization shown separately below)	6,438	6,464	5,852
Research and development	881	622	527
Selling, general and administrative	1,642	1,496	1,211
Amortization of intangible assets	310	126	69
Impairment charges	260	—	—
Transformation costs	—	—	26
Acquisition, disposition and other charges	156	181	80
Total costs and expenses	9,687	8,889	7,765
(Loss) earnings from operations	(8)	247	693
Interest and other, net ⁽¹⁾	(261)	8	5
Gain on sale of a business	3	1	—
Gain on sale of equity interest	—	—	733
Earnings from equity interests	5	32	(14)
(Loss) earnings before provision for taxes	(261)	288	1,417
Benefit (provision) for taxes	436	17	(51)
Net earnings attributable to HPE	175	305	\$ 1,366
Preferred stock dividends	(29)	(29)	(25)
Net earnings attributable to common stockholders	\$ 146	\$ 276	\$ 1,341
Net Earnings Per Share Attributable to Common Stockholders:			
Basic	\$ 0.11	\$ 0.21	\$ 1.02
Diluted	0.11	0.21	0.99
Cash dividends declared per share	0.13	0.13	0.13
Cash dividends accrued per preferred share	\$ 0.95	\$ 0.95	\$ 0.83
Weighted-average Shares Used to Compute Net Earnings Per Share:			
Basic	1,332	1,325	1,312
Diluted	1,361	1,421	1,375

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Earnings
(Unaudited)

	Year Ended	
	October 31, 2025	October 31, 2024
	In millions, except per share amounts	
Net revenue	\$ 34,296	\$ 30,127
Costs and Expenses:		
Cost of sales (exclusive of amortization shown separately below)	23,919	20,249
Research and development	2,518	2,246
Selling, general and administrative	5,704	4,871
Amortization of intangible assets	511	267
Impairment charges	1,621	—
Transformation costs	2	93
Acquisition, disposition and other charges	458	211
Total costs and expenses	34,733	27,937
(Loss) earnings from operations	(437)	2,190
Interest and other, net ⁽¹⁾	(175)	(117)
Gain on sale of a business	248	—
Gain on sale of equity interest	—	733
Earnings from equity interests	79	147
(Loss) earnings before provision for taxes	(285)	2,953
Benefit (provision) for taxes	342	(374)
Net earnings attributable to HPE	57	2,579
Preferred stock dividends	(116)	(25)
Net (loss) earnings attributable to common stockholders	\$ (59)	\$ 2,554
Net (Loss) Earnings Per Share Attributable to Common Stockholders:		
Basic	\$ (0.04)	\$ 1.95
Diluted	(0.04)	1.93
Cash dividends declared per share	0.52	0.52
Cash dividends accrued per preferred share	\$ 3.81	\$ 0.83
Weighted-average Shares Used to Compute Net (Loss) Earnings Per Share:		
Basic	1,324	1,309
Diluted	1,324	1,337

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Reconciliation of GAAP to Non-GAAP measures
(Unaudited)

	For the three months ended		
	October 31, 2025	July 31, 2025	October 31, 2024
	Dollars in millions		
GAAP net revenue	\$ 9,679	\$ 9,136	\$ 8,458
GAAP cost of sales	6,438	6,464	5,852
GAAP gross profit	3,241	2,672	2,606
Non-GAAP Adjustments			
Stock-based compensation expense	9	10	10
Acquisition, disposition and other charges ⁽²⁾	189	50	(4)
Cost reduction program	80	—	—
Non-GAAP gross profit	\$ 3,519	\$ 2,732	\$ 2,612
GAAP gross profit margin	33.5 %	29.2 %	30.8 %
Non-GAAP adjustments	2.9 %	0.7 %	0.1 %
Non-GAAP gross profit margin	36.4 %	29.9 %	30.9 %

	Year Ended	
	October 31, 2025	October 31, 2024
	Dollars in millions	
GAAP net revenue	\$ 34,296	\$ 30,127
GAAP cost of sales	23,919	20,249
GAAP gross profit	10,377	9,878
Non-GAAP Adjustments		
Stock-based compensation expense	49	49
Acquisition, disposition and other charges ⁽²⁾	236	(34)
Cost reduction program	126	—
H3C divestiture related severance costs	17	—
Non-GAAP gross profit	\$ 10,805	\$ 9,893
GAAP gross profit margin	30.3 %	32.8 %
Non-GAAP adjustments	1.2 %	— %
Non-GAAP gross profit margin	31.5 %	32.8 %

	For the three months ended		
	October 31, 2025	July 31, 2025	October 31, 2024
	Dollars in millions		
GAAP (loss) earnings from operations	\$ (8)	\$ 247	\$ 693
Non-GAAP Adjustments			
Amortization of intangible assets	310	126	69
Impairment charges	260	—	—
Transformation costs	—	—	26
Stock-based compensation expense	196	177	89
Cost reduction program	127	2	—
Acquisition, disposition and other charges ⁽²⁾	298	225	61
Non-GAAP earnings from operations	<u>\$ 1,183</u>	<u>\$ 777</u>	<u>\$ 938</u>
GAAP operating profit margin	(0.1)%	2.7%	8.2 %
Non-GAAP adjustments	12.3 %	5.8 %	2.9 %
Non-GAAP operating profit margin	<u>12.2 %</u>	<u>8.5 %</u>	<u>11.1 %</u>

	Year Ended	
	October 31, 2025	October 31, 2024
	Dollars in millions	
GAAP (loss) earnings from operations	\$ (437)	\$ 2,190
Non-GAAP Adjustments		
Amortization of intangible assets	511	267
Impairment charges	1,621	—
Transformation costs	2	93
Stock-based compensation expense	643	430
H3C divestiture related severance costs	97	—
Cost reduction program	275	—
Acquisition, disposition and other charges ⁽²⁾	641	188
Non-GAAP earnings from operations	<u>\$ 3,353</u>	<u>\$ 3,168</u>
GAAP operating profit margin	(1.3)%	7.3 %
Non-GAAP adjustments	11.1 %	3.2 %
Non-GAAP operating profit margin	<u>9.8 %</u>	<u>10.5 %</u>

	For the three months ended					
	October 31, 2025	Diluted Net EPS ⁷	July 31, 2025	Diluted Net EPS	October 31, 2024	Diluted Net EPS
Dollars in millions, except per share amounts						
GAAP net earnings attributable to common stockholders	\$ 146	\$ 0.11	\$ 276		\$ 1,341	
Preferred stock dividends	29		29		25	
GAAP net earnings attributable to HPE	\$ 175		\$ 305	\$ 0.21	\$ 1,366	\$ 0.99
Non-GAAP Adjustments:						
Amortization of intangible assets	310	0.23	126	0.09	69	0.05
Impairment charges	260	0.19	—	—	—	—
Transformation costs	—	—	—	—	26	0.02
Stock-based compensation expense	196	0.14	177	0.12	89	0.06
Gain on sale of a business	(3)	—	(1)	—	—	—
Cost reduction program	127	0.09	2	—	—	—
Acquisition, disposition and other charges ⁽²⁾	298	0.22	225	0.17	61	0.04
Gain on sale of equity interest	—	—	—	—	(733)	(0.53)
Adjustments for equity interests	—	—	—	—	25	0.02
Litigation judgment	—	—	(52)	(0.04)	—	—
Loss (gain) on equity investments, net	148	0.10	1	—	(34)	(0.02)
Adjustments for taxes	(594)	(0.44)	(128)	(0.09)	(89)	(0.06)
Other adjustments ⁽³⁾⁽⁸⁾	(24)	(0.02)	(24)	(0.02)	15	0.01
Non-GAAP net earnings attributable to HPE⁽⁴⁾	893	\$ 0.62	631	\$ 0.44	795	\$ 0.58
Preferred stock dividends	(29)		(29)		(25)	
Non-GAAP net earnings attributable to common stockholders	<u>\$ 864</u>		<u>\$ 602</u>		<u>\$ 770</u>	

	Year Ended			
	October 31, 2025	Diluted Net EPS ⁷	October 31, 2024	Diluted Net EPS
Dollars in millions, except per share amounts				
GAAP net (loss) earnings attributable to common stockholders	\$ (59)	\$ (0.04)	\$ 2,554	
Preferred stock dividends	116		25	
GAAP net earnings attributable to HPE	\$ 57		\$ 2,579	\$ 1.93
Non-GAAP Adjustments:				
Amortization of intangible assets	511	0.39	267	0.20
Impairment charges	1,621	1.22	—	—
Transformation costs	2	—	93	0.07
Stock-based compensation expense	643	0.49	430	0.32
Gain on sale of a business	(248)	(0.19)	—	—
H3C divestiture related severance costs	97	0.07	—	—
Cost reduction program	275	0.21	—	—
Acquisition, disposition and other charges ⁽²⁾	641	0.49	188	0.15
Gain on sale of equity interest	—	—	(733)	(0.55)
Litigation judgment	(52)	(0.04)	—	—
Loss on equity investments, net	140	0.10	(94)	(0.07)
Adjustments for taxes	(828)	(0.64)	(95)	(0.07)
Other adjustments ⁽³⁾⁽⁸⁾	(106)	(0.12)	20	0.01
Non-GAAP net earnings attributable to HPE⁽⁴⁾	2,753	1.94	2,655	1.99
Preferred stock dividends	(116)		(25)	
Non-GAAP net earnings attributable to common stockholders	<u>\$ 2,637</u>		<u>\$ 2,630</u>	

	For the three months ended		
	October 31, 2025	July 31, 2025	October 31, 2024
In millions			
Net cash provided by operating activities	\$ 2,465	\$ 1,305	\$ 2,030
Investment in property, plant and equipment and software assets	(641)	(576)	(608)
Proceeds from sale of property, plant and equipment	126	90	90
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(30)	(29)	(12)
Free cash flow	<u>\$ 1,920</u>	<u>\$ 790</u>	<u>\$ 1,500</u>

	Year Ended	
	October 31, 2025	October 31, 2024
In millions		
Net cash provided by operating activities	\$ 2,919	\$ 4,341
Investment in property, plant and equipment and software assets	(2,292)	(2,367)
Proceeds from sale of property, plant and equipment	380	370
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(21)	(47)
Free cash flow	<u>\$ 986</u>	<u>\$ 2,297</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Balance Sheets

	As of	
	October 31, 2025	October 31, 2024
	(Unaudited)	(Audited)
	In millions, except par value	
ASSETS		
Current Assets:		
Cash and cash equivalents	\$ 5,773	\$ 14,846
Accounts receivable, net of allowances	5,290	3,550
Financing receivables, net of allowances	3,826	3,870
Inventory	6,352	7,810
Assets held for sale	—	1
Other current assets	3,753	3,380
Total current assets	24,994	33,457
Property, plant and equipment, net	6,002	5,664
Long-term financing receivables and other assets	13,817	12,616
Investments in equity interests	955	929
Goodwill and intangible assets	30,138	18,596
Total assets	\$ 75,906	\$ 71,262
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current Liabilities:		
Notes payable and short-term borrowings	\$ 4,609	\$ 4,742
Accounts payable	7,731	11,064
Employee compensation and benefits	1,871	1,356
Taxes on earnings	319	284
Deferred revenue	5,358	3,904
Liabilities held for sale	—	32
Other accrued liabilities	4,755	4,591
Total current liabilities	24,643	25,973
Long-term debt	17,756	13,504
Other non-current liabilities	8,753	6,905
Commitments and Contingencies		
HPE stockholders' Equity:		
7.625% Series C mandatory convertible preferred stock, \$0.01 par value (30 shares issued and outstanding as of October 31, 2025 and October 31, 2024)	—	—
Common stock, \$0.01 par value (9,600 shares authorized; 1,319 and 1,297 shares issued and outstanding as of October 31, 2025 and October 31, 2024, respectively)	13	13
Additional paid-in capital	30,234	29,848
Accumulated deficit	(2,811)	(2,068)
Accumulated other comprehensive loss	(2,748)	(2,977)
Total HPE stockholders' equity	24,688	24,816
Non-controlling interests	66	64
Total stockholders' equity	24,754	24,880
Total liabilities and stockholders' equity	\$ 75,906	\$ 71,262

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Cash Flows
(Unaudited)

	Year Ended	
	October 31, 2025	October 31, 2024
	In millions	
Cash Flows from Operating Activities:		
Net earnings attributable to HPE	\$ 57	\$ 2,579
Adjustments to Reconcile Net Earnings Attributable to HPE to Net Cash Provided by Operating Activities:		
Depreciation and amortization	2,737	2,564
Impairment charges	1,621	—
Stock-based compensation expense	643	430
Provision for inventory and credit losses	511	175
Restructuring (credits) charges	(13)	33
Cost reduction program	275	—
Deferred taxes on earnings	(565)	(64)
Earnings from equity interests	(90)	(147)
Gain on sale of a business	(248)	—
Gain on sale of equity interest	—	(733)
Dividends received from equity investees	29	43
H3C divestiture related severance costs	97	—
Amortization of inventory fair value adjustment	244	—
Loss on equity investments, net	147	13
Other, net	181	136
Changes in Operating Assets and Liabilities, Net of Acquisitions:		
Accounts receivable	(700)	(83)
Financing receivables	(153)	(909)
Inventory	1,783	(3,358)
Accounts payable	(3,468)	3,927
Taxes on earnings	(200)	190
Restructuring	(58)	(164)
Other assets and liabilities	89	(291)
Net cash provided by operating activities	2,919	4,341
Cash Flows from Investing Activities:		
Investment in property, plant and equipment and software assets	(2,292)	(2,367)
Proceeds from sale of property, plant and equipment	380	370
Purchases of equity investments	(9)	(16)
Proceeds from sale of available-for-sale securities	934	6
Proceeds from maturities and redemptions of available-for-sale securities	48	—
Proceeds from sale of equity interest	—	2,143
Financial collateral posted	(764)	(1,020)
Financial collateral received	581	978
Payments made in connection with business acquisitions, net of cash acquired	(12,278)	(147)
Proceeds from sale of a business	210	—
Net cash used in investing activities	(13,190)	(53)
Cash Flows from Financing Activities:		
Short-term borrowings with original maturities less than 90 days, net	(8)	(31)
Proceeds from debt, net of issuance costs	9,188	11,245
Payments of debt	(6,837)	(5,475)

Net payments related to stock-based award activities	(289)	(84)
Proceeds from issuance of 7.625% Series C mandatory convertible preferred stock, net of issuance costs	—	1,462
Repurchases of common stock	(202)	(150)
Cash dividends paid to preferred stockholders	(112)	—
Cash dividends paid to common stockholders	(684)	(676)
Other	(10)	(8)
Net cash provided by financing activities	1,046	6,283
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(21)	(47)
Change in cash, cash equivalents and restricted cash	(9,246)	10,524
Cash, cash equivalents and restricted cash at beginning of period	15,105	4,581
Cash, cash equivalents and restricted cash at end of period	<u>\$ 5,859</u>	<u>\$ 15,105</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the three months ended		
	October 31, 2025	July 31, 2025	October 31, 2024
	In millions		
Net Revenue:			
Server ⁽⁴⁾	\$ 4,457	\$ 4,940	\$ 4,681
Hybrid Cloud ⁽⁴⁾	1,412	1,484	1,607
Networking ⁽⁶⁾	2,812	1,730	1,124
Financial Services	889	886	893
Corporate Investments and other	191	194	262
Total segment net revenue	9,761	9,234	8,567
Elimination of intersegment net revenue	(82)	(98)	(109)
Total consolidated net revenue	\$ 9,679	\$ 9,136	\$ 8,458
Earnings Before Taxes:			
Server ⁽⁵⁾	\$ 437	\$ 317	\$ 541
Hybrid Cloud ⁽⁵⁾	71	87	126
Networking ⁽⁶⁾	648	360	274
Financial Services	102	88	82
Corporate Investments and other	(6)	(14)	(2)
Total segment earnings from operations	1,252	838	1,021
Unallocated corporate costs and eliminations	(69)	(61)	(83)
Stock-based compensation expense	(196)	(177)	(89)
Amortization of intangible assets	(310)	(126)	(69)
Impairment charges	(260)	—	—
Transformation costs	—	—	(26)
Gain on sale of a business	3	1	—
H3C divestiture related severance costs	—	—	—
Cost reduction program	(127)	(2)	—
Acquisition, disposition and other charges ⁽²⁾	(298)	(225)	(61)
Interest and other, net ⁽¹⁾	(261)	8	5
Gain on sale of equity interest	—	—	733
Earnings (loss) from equity interests	5	32	(14)
Total pretax (loss) earnings	\$ (261)	\$ 288	\$ 1,417

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	Year Ended	
	October 31, 2025	October 31, 2024
	In millions	
Net Revenue:		
Server ⁽⁵⁾	\$ 17,745	\$ 16,104
Hybrid Cloud ⁽⁵⁾	5,754	5,487
Networking ⁽⁶⁾	6,850	4,532
Financial Services	3,504	3,512
Corporate Investments and other	776	1,014
Total segment net revenue	34,629	30,649
Elimination of intersegment net revenue	(333)	(522)
Total consolidated net revenue	<u>\$ 34,296</u>	<u>\$ 30,127</u>
Earnings Before Taxes:		
Server ⁽⁵⁾	\$ 1,343	\$ 1,804
Hybrid Cloud ⁽⁵⁾	335	259
Networking ⁽⁶⁾	1,596	1,115
Financial Services	361	316
Corporate Investments and other	(32)	(25)
Total segment earnings from operations	3,603	3,469
Unallocated corporate costs and eliminations	(250)	(301)
Stock-based compensation expense	(643)	(430)
Amortization of intangible assets	(511)	(267)
Impairment charges	(1,621)	—
Transformation costs	(2)	(93)
Gain on sale of a business	248	—
H3C divestiture related severance costs	(97)	—
Cost reduction program	(275)	—
Acquisition, disposition and other charges ⁽²⁾	(641)	(188)
Interest and other, net ⁽¹⁾	(175)	(117)
Gain on sale of equity interest	—	733
Earnings from equity interests	79	147
Total pretax (loss) earnings	<u>\$ (285)</u>	<u>\$ 2,953</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the three months ended			Change (%)	
	October 31, 2025	July 31, 2025	October 31, 2024	Q/Q	Y/Y
Dollars in millions					
Net Revenue:					
Server ⁽⁵⁾	\$ 4,457	\$ 4,940	\$ 4,681	(10%)	(5%)
Hybrid Cloud ⁽⁵⁾	1,412	1,484	1,607	(5)	(12)
Networking ⁽⁶⁾	2,812	1,730	1,124	63	150
Financial Services	889	886	893	—	—
Corporate Investments and other	191	194	262	(2)	(27)
Total segment net revenue	9,761	9,234	8,567	6	14
Elimination of intersegment net revenue	(82)	(98)	(109)	(16)	(25)
Total consolidated net revenue	<u>\$ 9,679</u>	<u>\$ 9,136</u>	<u>\$ 8,458</u>	6%	14%

	Year Ended		
	October 31, 2025	October 31, 2024	Y/Y
Dollars in millions			
Net Revenue:			
Server ⁽⁵⁾	\$ 17,745	\$ 16,104	10%
Hybrid Cloud ⁽⁵⁾	5,754	5,487	5
Networking ⁽⁶⁾	6,850	4,532	51
Financial Services	3,504	3,512	—
Corporate Investments and other	776	1,014	(24)
Total segment net revenue	34,629	30,649	13
Elimination of intersegment net revenue	(333)	(522)	(36)
Total consolidated net revenue	<u>\$ 34,296</u>	<u>\$ 30,127</u>	14%

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Operating Margin Summary Data
(Unaudited)

	For the three months ended			Change in operating profit margin (pts)	
	October 31, 2025	July 31, 2025	October 31, 2024	Q/Q	Y/Y
Segment Operating Profit Margin:					
Server ⁽⁵⁾	9.8 %	6.4 %	11.6 %	3.4	(1.8)
Hybrid Cloud ⁽⁵⁾	5.0 %	5.9 %	7.8 %	(0.9)	(2.8)
Networking ⁽⁶⁾	23.0 %	20.8 %	24.4 %	2.2	(1.4)
Financial Services	11.5 %	9.9 %	9.2 %	1.6	2.3
Corporate Investments and other	(3.1%)	(7.2%)	(0.8%)	4.1	(2.3)
Total segment operating profit margin	12.8 %	9.1 %	11.9 %	3.7	0.9

	Year Ended		Change in operating profit margin (pts)
	October 31, 2025	October 31, 2024	Y/Y
Segment Operating Profit Margin:			
Server ⁽⁵⁾	7.6 %	11.2 %	(3.6)
Hybrid Cloud ⁽⁵⁾	5.8 %	4.7 %	1.1
Networking ⁽⁶⁾	23.3 %	24.6 %	(1.3)
Financial Services	10.3%	9.0%	1.3
Corporate Investments and other	(4.1 %)	(2.5 %)	(1.6)
Total segment operating profit margin	10.4 %	11.3 %	(0.9)

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Calculation of Diluted Net Earnings Per Share
(Unaudited)

	For the three months ended		
	October 31, 2025	July 31, 2025	October 31, 2024
	In millions, except per share amounts		
Numerator:			
GAAP net earnings attributable to common stockholders - Basic	\$ 146	\$ 276	\$ 1,341
Plus: 7.625% Series C mandatory convertible preferred stock dividends	—	29	25
GAAP net earnings attributable to HPE - Diluted	<u>\$ 146</u>	<u>\$ 305</u>	<u>\$ 1,366</u>
Non-GAAP net earnings attributable to common stockholders - Basic	\$ 864	\$ 602	\$ 770
Plus: 7.625% Series C mandatory convertible preferred stock dividends	29	29	25
Non-GAAP net earnings attributable to HPE - Diluted	<u>\$ 893</u>	<u>\$ 631</u>	<u>\$ 795</u>
Denominator:			
GAAP Weighted-average shares used to compute basic net EPS	1,332	1,325	1,312
Dilutive effect of employee stock plans ⁽⁷⁾	29	16	22
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	—	80	41
GAAP Weighted-average shares used to compute diluted net EPS	<u>1,361</u>	<u>1,421</u>	<u>1,375</u>
Non-GAAP Weighted-average shares used to compute basic net EPS	1,332	1,325	1,312
Dilutive effect of employee stock plans ⁽⁷⁾	29	16	22
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	76	80	41
Non-GAAP Weighted-average shares used to compute diluted net EPS	<u>1,437</u>	<u>1,421</u>	<u>1,375</u>
GAAP Net EPS			
Basic	\$ 0.11	\$ 0.21	\$ 1.02
Diluted	\$ 0.11	\$ 0.21	\$ 0.99
Non-GAAP Net EPS			
Basic	\$ 0.65	\$ 0.45	\$ 0.59
Diluted ⁽⁴⁾	\$ 0.62	\$ 0.44	\$ 0.58

	Year Ended	
	October 31, 2025	October 31, 2024
	In millions, except per share amounts	
Numerator:		
GAAP net (loss) earnings attributable to common stockholders - Basic	\$ (59)	\$ 2,554
Plus: 7.625% Series C mandatory convertible preferred stock dividends	—	25
GAAP net (loss) earnings attributable to HPE - Diluted	<u>\$ (59)</u>	<u>\$ 2,579</u>
Non-GAAP net earnings attributable to common stockholders - Basic		
Non-GAAP net earnings attributable to common stockholders - Basic	\$ 2,637	\$ 2,630
Plus: 7.625% Series C mandatory convertible preferred stock dividends	116	25
Non-GAAP net earnings attributable to HPE - Diluted	<u>\$ 2,753</u>	<u>\$ 2,655</u>
Denominator:		
Weighted-average shares used to compute basic net EPS	1,324	1,309
Dilutive effect of employee stock plans ⁽⁷⁾	—	18
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	—	10
Weighted-average shares used to compute diluted net EPS	<u>1,324</u>	<u>1,337</u>
Denominator(Non-GAAP):		
Weighted-average shares used to compute basic net EPS	1,324	1,309
Dilutive effect of employee stock plans ⁽⁷⁾	18	18
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	76	10
Weighted-average shares used to compute diluted net EPS	<u>1,418</u>	<u>1,337</u>
GAAP Net EPS		
Basic	\$ (0.04)	\$ 1.95
Diluted	\$ (0.04)	\$ 1.93
Non-GAAP Net EPS		
Basic	\$ 1.99	\$ 2.01
Diluted ⁽⁴⁾	\$ 1.94	\$ 1.99

- (1) Interest and other, net includes tax indemnification and other adjustments, non-service net periodic benefit credit, and interest and other, net. The three and twelve months ended October 31, 2025, includes \$135 million loss on investments, net and a \$52 million litigation settlement which HPE received in the third quarter of fiscal 2025.
- (2) Includes disaster recovery and divestiture related exit costs. For the three and twelve months ended October 31, 2025, Acquisition, disposition and other charges include non-cash amortization of fair value adjustment for inventory in connection with the acquisition of Juniper Networks, which was recorded in cost of sales.
- (3) Other adjustments includes non-service net periodic benefit credit and tax indemnification and other adjustments.
- (4) For purposes of calculating diluted net EPS, the preferred stock dividends are added back to the net earnings attributable to common stockholders and the diluted weighted average share calculation assumes the preferred stock was converted at issuance or as of the beginning of the reporting period.
- (5) Effective at the beginning of the first quarter of fiscal 2025, in order to align its segment financial reporting more closely with its current business structure, HPE implemented an organizational change with the transfer of certain managed services, previously reported within the Server reportable segment, to the Hybrid Cloud reportable segment.
- (6) During the third quarter of fiscal 2025, the Intelligent Edge segment was renamed to Networking. The segment name change did not result in any change to the composition of the Company's segments and therefore no prior information was recast; further, the designation change did not impact the Company's condensed consolidated financial statements.

- (7) The impact of dilutive effect of employee stock plans is calculated under the treasury stock method, and the impact of dilutive effect of the preferred stock is calculated under the if-converted method. For the three months ended October 31, 2025, the effect of preferred stock is excluded as it would be anti-dilutive. For the twelve months ended October 31, 2025, the effect of employee stock plans and preferred stock is excluded when calculating diluted net loss per share as it would be anti-dilutive.
- (8) For the three months ended October 31, 2025, the diluted net EPS adjustment includes the impact to Non-GAAP net earnings attributable to HPE for the dilutive effect of preferred stock. For fiscal 2025, the diluted net EPS adjustment includes the impact to Non-GAAP net earnings attributable to HPE for the dilutive effect of preferred stock and the employee stock plans.